APPELLATE TRIBUNAL FOR ELECTRICITY · JUDGMENT DIGEST

The Tata Power Company Ltd. *v.* Maharashtra Electricity Regulatory Commission & Ors.

Appeal No. 195 of 2019 (with IA Nos. 1043 & 1044 of 2019) | Appellate Tribunal for Electricity, New Delhi | 4 October 2019

COURT	Appellate Tribunal for Electricity (Appellate Jurisdiction)
CORAM	Hon'ble Mrs. Justice Manjula Chellur, Chairperson & Hon'ble Mr. S.D. Dubey, Technical Member (judgment delivered by Technical Member S.D. Dubey)
DATE OF JUDGMENT	4 October 2019
NATURE OF PROCEEDING	Appeal under Section 111 of the Electricity Act, 2003 against Order of Maharashtra Electricity Regulatory Commission dated 13.05.2019 in Case No. 97 of 2019, challenging permission granted to existing consumer to switchover from one parallel distribution licensee to another in overlapping license area
PARTIES	The Tata Power Company Ltd., distribution licensee in Island City and Suburban Mumbai (appellant) *v.* (1) Maharashtra Electricity Regulatory Commission (MERC), (2) Adani Electricity Mumbai Limited (AEML), Distribution Licensee, (3) Netmagic IT Services Pvt. Ltd. (respondents)
PROVISIONS	Sections 2(18), 2(42), 2(61), 43, 86, 94, 111 of the Electricity Act, 2003; Central Electricity Authority (Measures relating to Safety and Electric Supply) Regulations, 2010 (Regulations 2(1)(zza) and 14); MERC (Electricity Supply Code) Regulations, 2005
RESULT	**Appeal dismissed.** The impugned Order dated 13.05.2019 of Maharashtra Electricity Regulatory Commission in Case No. 97 of 2019 is upheld. The consumer Netmagic falls under Scenario 53(b) as established in MERC's Order dated 12.06.2017 in Case Nos. 182 & 40 of 2015, and AEML is entitled to provide switchover connection by laying service lines from its existing distribution mains without augmenting or extending those mains. The cost of service lines may be recovered partly through normative Schedule of Charges and the balance through the distribution licensee's Annual Revenue Requirement (ARR). Interim Applications Nos. 1043 & 1044 do not survive for consideration and stand disposed of. No order as to costs.

POINT FOR DETERMINATION

1. Whether Maharashtra Electricity Regulatory Commission (MERC) was justified in holding that Netmagic, an existing HT consumer, falls under Scenario 53(b) and not Scenario 53(a) as per the MERC's Order dated 12.06.2017 in Case Nos. 182 & 40 of 2015 establishing principles for switchover between parallel distribution licensees.
2. Whether the 11 kV feeders and lines laid by Adani Electricity Mumbai Limited (AEML) from its distribution sub-stations at Nahar/Saki constitute 'service lines' as defined in Section 2(61) of the Electricity Act, 2003, or whether they amount to 'augmentation/extension of distribution mains' which would preclude switchover under Scenario 53(b).

3. Whether MERC correctly permitted the cost of service lines (approximately Rs. 6.5 crores) to be passed through to the distribution licensee's other consumers via the Annual Revenue Requirement (ARR) mechanism, or whether the entire cost must be borne by the consumer (Netmagic) as a 'Dedicated Distribution Facility'.

FACTS

The Tata Power Company Ltd. (TPC-Distribution) and Adani Electricity Mumbai Limited (AEML, formerly Reliance Infrastructure Limited) are parallel distribution licensees authorized to supply electricity in overlapping areas: Island City and Suburban Mumbai including villages of Chene and Vesave. Netmagic IT Services Pvt. Ltd., an information technology service provider operating a data centre in Suburban Mumbai with very high round-the-clock power consumption, was an existing HT consumer of TPC.

TPC had constructed a distribution sub-station (DSS) within Netmagic's premises and was supplying electricity to it on 11 kV. AEML's nearest distribution sub-stations were located at Nahar and Saki, approximately 1.5 kilometers away from Netmagic's premises. Netmagic applied for switchover to AEML's network seeking to reduce power costs through lower wheeling charges offered by AEML (savings estimated at approximately Rs. 8–10 crores annually through open-access purchases).

To effect the switchover, AEML proposed laying 8 to 10 HT feeders (11 kV cables) from its Nahar/Saki sub-stations to Netmagic. TPC contended this constituted 'augmentation/extension of distribution mains' at a total cost of approximately Rs. 7 crores, of which only Rs. 32 lakhs would be recovered from Netmagic as normative service-connection charges, with the balance (~Rs. 6.5 crores) being passed to other consumers. TPC further argued that because AEML had its DSS within Netmagic's premises and AEML's mains were 1.5 km away, Netmagic fell under Scenario 53(a) (covered by only one licensee), not Scenario 53(b) (covered by both licensees), and hence switchover was not permissible.

MERC's foundational Order dated 12.06.2017 in Case Nos. 182 & 40 of 2015 had established that switchover between parallel licensees is permitted only in Scenario 53(b), where both licensees have distribution mains and consumer connection can be given by laying service lines without augmenting or extending distribution mains. MERC in its Order dated 13.05.2019 (impugned order) held that Netmagic falls under Scenario 53(b), that the 11 kV lines are 'service lines' as defined in the Electricity Act, and that switchover is permissible; cost passage through ARR is a regulatory norm and does not bar switchover.

TPC filed Appeal No. 195 of 2019 before APTEL challenging the MERC order, contending (a) the definition of service line did not include long-distance cables with spare capacity for future consumers, (b) AEML was engaging in network augmentation masked as service-line laying, and (c) the cost passage to consumers at large violated the principle that consumer choice should not result in network duplication costs being passed to the wider consumer base.

REASONING OF THE COURT

> **HEADNOTE**
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> Between two parallel distribution licensees in overlapping areas, where one licensee (Tata Power) has existing distribution infrastructure and a consumer (Netmagic) seeks to switchover to another licensee (AEML), the criteria for determining whether switchover is permissible turns on whether the second licensee can provide the connection by laying 'service lines' from its existing distribution mains without augmenting or extending those mains (Scenario 53(b)), or whether augmentation would be required (Scenario 53(a)). Service lines, as statutorily defined, are electric supply lines laid from distribution mains or immediately from the licensor's premises to the consumer, including the switchgear installed on consumer premises as per safety regulations; they are not limited by distance or cost. The 11 kV feeders laid by AEML from its existing sub-stations (commissioned in 2007 and 2017) qualify as service lines. The cost of such service lines, when exceeding the normative charges recovered, is recovered through the distribution licensee's Annual Revenue

> Requirement (ARR)—a regulatory protocol that does not violate consumer protection or prevent switchover. Consumer choice to select network in Scenario 53(b) cannot be curtailed on grounds of cost passage through ARR. The distinction between cases of new consumers (requiring infrastructure assessment) and existing consumers (exercising switchover rights) is material.

Service lines are defined by statute without distance or cost criteria; they include switchgear on consumer premises per safety regulations. Section 2(61) of the Electricity Act defines ‘service line’ as any electric supply line through which electricity is or is intended to be supplied to a single consumer either from a distributing main or immediately from the Distribution Licensee’s premises. The statute contains no qualification by distance or cost. By conjoint reading of Section 2(61) with Central Electricity Authority (Measures relating to Safety and Electric Supply) Regulations 2010, Regulations 2(1)(zza) and 14 (which require a supplier to provide suitable switchgear on each conductor of every service line within consumer premises), a service line extends from the distribution main or licensor’s premises to the consumer premises and includes the switchgear/RMU/circuit breaker installed on the consumer premises for operation, regulation and control of circuits. The Appellant’s contention that service line starts only from the T-off point of the RMU and that cable from distribution sub-station to RMU constitutes mains is negated by: (a) the plain language of the statutory definition; (b) the safety regulations; and (c) the Appellant’s own submission in pending Appeal No. 243 of 2017, where it depicted HT service line as extending from HT Mains Busbar/Cables to HT Consumer Installation. ¶ 8.14, 8.16, 8.17

The lines laid by AEML from its existing distribution mains qualify as service lines because they are laid directly from the licensor’s distribution sub-stations without augmentation or extension of those mains. AEML affirmed on affidavit that the 11 kV lines are laid from existing distribution mains commissioned on 11.12.2007 and 30.03.2017, prior to MERC’s foundational order dated 12.06.2017. The Appellant did not dispute that AEML was augmenting its mains at Vihar/Nahar. The Appellant’s argument that service lines possess ‘spare capacity’ indicating future use for other consumers is technically incorrect: prudent engineering requires service lines to have spare capacity and margin above contract demand to handle any over-shooting by the consumer without tripping or fault. This is standard practice and does not convert a service line into distribution mains. Because the 11 kV lines are laid directly from AEML’s existing distribution sub-stations (not by extending or augmenting those sub-stations) to supply Netmagic, they qualify as service lines under Section 2(61). ¶ 8.18, 8.19

Netmagic falls under Scenario 53(b) on a proper reading of MERC’s foundational Order dated 12.06.2017, permitting switchover where both licensees have distribution mains and connection can be given by laying service lines without augmenting/extending distribution mains. MERC’s Order dated 12.06.2017 in Case Nos. 182 & 40 of 2015 established that: (a) an area is ‘completely covered’ by a licensee when it has distribution mains in place and consumer connection can be given by laying service lines without augmenting or extending distribution mains; (b) switchover is permissible only in Scenario 53(b), where both licensees have distribution mains and connection can be given by laying service lines; (c) Level 1 applies when LT or HT connection is possible by laying service lines from existing mains without augmentation; (d) existing consumers under Scenario 53(b) may migrate to another licensee. The Appellant’s reliance on M-DNAC’s order in the Tejal Minerals case (a new consumer requiring network extension) is distinguishable: Tejal involved extension of HT distribution mains for a new consumer, whereas the instant case involves switchover of an existing consumer by laying service lines only. The unit of reference is the individual consumer: if AEML can provide connection to Netmagic by laying service lines from its existing mains without augmenting those mains, then AEML ‘completely covers’ Netmagic’s location under Scenario 53(b). ¶ 8.13, 8.20, 8.21

The cost of service lines recovered through normative Schedule of Charges plus ARR is a regulatory protocol; cost passage does not curtail consumer choice or violate consumer protection. MERC established in its Orders dated 28.12.2012 (Cases Nos. 47 & 73 of 2012) that the Schedule of Charges represents normative, uniform charges to be applied to all consumers without discrimination, and are not reflective of actual cost incurred in each case. The entire cost of service lines cannot be recovered from individual consumers; where actual cost exceeds normative charges, the excess becomes ‘infrastructure cost’ of the Distribution Licensee and is recovered through its Annual Revenue Requirement

(ARR) as approved by MERC. This is a regulatory protocol. The Appellant contested the Schedule of Charges orders in a separate petition (Case No. 18 of 2015), which MERC disposed. Here, the question is whether cost passage through ARR can curtail consumer choice in Scenario 53(b): the answer is no. Under-recovery from one consumer is offset by additional sales and revenue from that consumer’s switchover and associated network utilization, resulting in overall tariff reduction or neutralization for other consumers. The principle that consumer choice cannot be curtailed on cost grounds applies when the foundational choice condition (Scenario 53(b): service lines only, no mains augmentation) is met. ¶ 9.6, 9.7, 9.8, 9.9

INTERPRETATION OF THE ELECTRICITY STATUTES

ELECTRICITY ACT, 2003: SERVICE LINES VS. DISTRIBUTION MAINS; CONSUMER SWITCHOVER IN OVERLAPPING LICENSE AREAS; COST RECOVERY AND ARR MECHANISM

Section 2(18), 2(42), 2(61) — Statutory Definitions: Distributing Mains, Mains, and Service Lines

Section 2(18) defines ‘distributing main’ as the portion of any main with which a service line is or is intended to be immediately connected. Section 2(42) defines ‘main’ as any electric supply line through which electricity is or is intended to be supplied. Section 2(61) defines ‘service line’ as any electric supply line through which electricity is or is intended to be supplied (a) to a single consumer either from a distributing main or immediately from the Distribution Licensee’s premises, or (b) from a distributing main to a group of consumers on the same premises or contiguous premises supplied from the same point. The nature of an electric supply line—whether distribution mains or service line—depends on whether it is laid to supply a single consumer (or group on same/contiguous premises from one point) or multiple consumers at different points. The statute does not prescribe distance or cost as criteria; the Tribunal held that service lines extend from distribution mains or licensor’s premises all the way to consumer premises, including switchgear thereon. ¶ 8.14, 8.15

Section 43 — Universal Supply Obligation; Section 86 — State Commission’s Regulatory Powers

Section 43 imposes a universal supply obligation (USO) on distribution licensees to provide connection to consumers within one month of request; licensees recover only normative charges approved by the Commission, with balance costs recovered through ARR. Section 86(1)(f) vests jurisdiction in the State Commission to determine captive generating plant status and related matters; Section 86(3) requires the Commission to act in a just, fair, and transparent manner. The Commission’s regulatory authority to determine scenarios, verify service-line status, and approve ARR cost recovery is exclusive. However, these powers must be exercised in accordance with the statutory framework established in the foundational Orders (e.g., Case 182 order), and consumer rights (such as switchover rights in Scenario 53(b)) cannot be circumvented once the foundational condition (service lines only, no mains augmentation) is established. ¶ 8.1, 9.1

Central Electricity Authority (Measures relating to Safety and Electric Supply) Regulations 2010, Regulations 2(1)(zza) and 14 — Switchgear as Part of Service Lines

Regulation 2(1)(zza) defines ‘switchgear’ as switches, circuit breakers, cut-outs and other apparatus used for operation, regulation and control of circuits. Regulation 14 mandates that ‘the supplier shall provide a suitable switchgear in each conductor of every service line... within a consumer’s premises’. By conjoint reading, switchgear (including circuit breakers and Ring Main Units) installed on consumer premises as part of the last-mile connection is a statutory component of service lines, not a separate installation classifiable as distribution mains. This clarifies that Appellant’s dichotomy—distinguishing cable to RMU from cable to switchgear—is statutorily unfounded. ¶ 8.16

MERC's Order dated 12.06.2017 in Case Nos. 182 & 40 of 2015 — Scenario 53(a) and 53(b); Switchover Principles; Definition of 'Completely Covered'

MERC established that Scenario 53(a) comprises areas completely covered by one licensee only (mains present, no parallel network); switchover is not permitted as it would require network duplication. Scenario 53(b) comprises areas completely covered by both licensees (both have mains, connection by service lines only); switchover is permitted as it involves no further mains duplication. 'Completely covered' means the licensor has distribution mains in place and can provide connection by laying service lines without augmenting or extending those mains. The unit of reference is the individual consumer: whether that consumer can be connected by service lines only determines scenario classification. Existing Level-1 consumers in Scenario 53(b) may switchover or changeover at their choice. Switchover envisages complete migration to another licensee's network and is permissible only in Scenario 53(b). This foundational order establishes the governing framework as between parallel licensees in overlapping areas and binds the Commission in subsequent orders (absent stay of the order). ¶ 8.2, 8.12, 8.13

MERC Orders dated 28.12.2012 in Cases Nos. 47 & 73 of 2012 — Normative Schedule of Charges; Cost Recovery via ARR

MERC approved separate Schedules of Charges for TPC and AEML specifying normative, uniform charges for service-connection provision. These charges are not calculated to match actual cost in each case but are fixed normatively to avoid discrimination and to remain non-prohibitive. Where actual cost of laying service lines exceeds normative charges recovered from a consumer, the excess becomes 'infrastructure cost' of the licensee and is recovered through its Annual Revenue Requirement (ARR) as part of approved tariff. Where actual cost is lower than charges, the surplus is retained or adjusted. This bifurcated cost-recovery mechanism is the regulatory norm and applies equally to both TPC and AEML. Under-recovery from one consumer (via normative charges) is a planned feature of the regulatory regime, balanced by wider tariff recovery through ARR and by net revenue increases from consumer growth and network utilization. ¶ 9.6, 9.7, 9.8

> **RATIO DECIDENDI**
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> In overlapping distribution license areas where a State Commission has established regulatory scenarios (Scenario 53(a) and 53(b)) defining when switchover of existing consumers between parallel licensees is permissible, switchover is allowed only in Scenario 53(b)—where both licensees have distribution mains and can provide connection by laying service lines without augmenting or extending distribution mains. Service lines, as defined in the Electricity Act (Section 2(61)), are electric supply lines laid from distribution mains or from the licensor's premises to supply a single consumer or group on same/contiguous premises, including switchgear installed on consumer premises per safety regulations. Service lines are not limited by distance or cost; the criterion is whether mains augmentation/extension is required. Where such is not required, the lines laid constitute service lines, and the consumer falls under Scenario 53(b). The cost of service lines, when exceeding normative Schedule of Charges recovered from the consumer, is recovered through the distribution licensee's Annual Revenue Requirement (ARR) as part of approved tariff—a regulatory protocol that does not curtail consumer switchover rights. Consumer choice in Scenario 53(b) cannot be circumvented on grounds of cost passage through ARR. The Tribunal upheld MERC's findings, holding that: (1) the 11 kV lines from AEML are service lines laid from existing mains; (2) Netmagic falls under Scenario 53(b); (3) switchover is permissible; and (4) cost passage through ARR does not violate law or policy. The foundational scenario-based framework, not challenged before APTEL at the time of the instant appeal, governs the determination.

ALSO HELD & OBITER

- **Distinguishing switchover (existing consumers) from new-consumer network-extension cases.** The Tribunal observed in paragraph 8.20 that 'the case of Tejal Minerals is with regard to laying of network for new consumers, whereas the present case is the switchover of existing consumer'. This distinction is material: new consumers require infrastructure assessment by institutional mechanisms to optimize network expansion, whereas existing consumers exercising switchover rights in Scenario 53(b) are protected by the foundational order's express permission. The Appellant's reliance on M-DNAC's decision in Tejal Minerals (involving network extension for a new consumer) did not apply to Netmagic's switchover application.

- **Pending challenges to the foundational order do not stay its application.** APTEL noted in paragraph 8.1 that although the foundational Order dated 12.06.2017 (Case No. 182 of 2014) is challenged in pending appeals before APTEL, it remains un-stayed and continues to govern the field between the parties. The Tribunal's findings in the instant appeal are based on the assumption that this foundational order remains effective and will have no bearing on the pending appeals against it.

DISPOSITION

The Appeal is **dismissed**. The impugned Order dated 13.05.2019 passed by Maharashtra Electricity Regulatory Commission in Case No. 97 of 2019 is **upheld**. The Tribunal held: (1) Netmagic falls under Scenario 53(b) as established in MERC's Order dated 12.06.2017; (2) the 11 kV lines laid by AEML constitute 'service lines' as defined in the Electricity Act and are laid from existing distribution mains without augmentation or extension; (3) switchover of Netmagic from TPC to AEML is permissible; (4) cost of service lines may be recovered through normative Schedule of Charges plus ARR mechanism; (5) consumer choice in Scenario 53(b) cannot be curtailed on cost grounds. The reliefs sought in Interim Applications Nos. 1043 & 1044 of 2019 do not survive for consideration and stand disposed of. **No order as to costs.** ¶ 10.1, 10.2, Disposition

SIGNIFICANCE

This judgment clarifies the boundary between 'service lines' and 'distribution mains' in the context of consumer switchover rights between parallel distribution licensees in overlapping license areas. Three key holdings emerge:

- **Service lines include switchgear on consumer premises and are not limited by distance or cost; the statutory criterion is direct connection from mains without requiring mains augmentation.** By statutory definition (Section 2(61)) read with safety regulations (CEA Regulations 2010), service lines extend from distribution mains or licensor's premises to consumer premises including switchgear. Distance and cost are not limiting factors. This clarification prevents licensees from escaping switchover obligations by recharacterizing long-distance last-mile connections as 'distribution mains' or claiming they constitute network augmentation merely because spare capacity exists. The technical reality of prudent engineering (requiring margin above contract demand) supports service-line treatment. This principle benefits consumers seeking switchover and reduces opportunities for licensees to circumvent regulatory scenarios through characterization disputes.
- **Scenario 53(b) switchover rights are determined by the foundational condition (service lines only, no mains augmentation), not by cost allocation or consumer benefit.** Once a State Commission establishes scenarios governing switchover, the question of whether a particular consumer falls within Scenario 53(b) is determined by the technical condition (mains augmentation yes/no), not by secondary considerations such as cost impact or network utilization. If the foundational condition is met, consumer choice is protected and cannot be curtailed by cost-passage arguments. This protects the enforceability of switchover frameworks and prevents regulatory backsliding through cost-based denials.
- **ARR cost recovery for excess service-line costs is a regulatory norm; it does not negate consumer rights or require individual cost-bearance by the consumer.** The bifurcated cost-recovery mechanism (normative charges + ARR) is settled practice in distribution regulation. Under-recovery from one consumer is intentional policy, balanced by network optimization and revenue growth. The Tribunal's validation of this mechanism as compatible with consumer-choice rights clarifies that cost passage is not a grounds for denying switchover in Scenario 53(b). This principle prevents licensees from deploying cost-spread arguments to frustrate consumer mobility in competitive areas.

- **Existing consumer switchover (exercising pre-established rights) is analytically distinct from new-consumer network-extension cases (requiring infrastructure assessment).** The Tribunal distinguished switchover of an existing consumer with pre-established service (Netmagic) from new-consumer cases requiring institutional evaluation of network expansion (Tejal Minerals). This distinction permits streamlined switchover processes once foundational scenario is established, avoiding case-by-case re-verification of scenarios for every existing-consumer application.
- **A foundational regulatory order establishing scenarios remains binding on the State Commission in subsequent orders until stayed or overturned on appeal.** The Tribunal noted that MERC's foundational Order dated 12.06.2017, although challenged in pending appeals, remains un-stayed and binds the Commission's subsequent adjudications. MERC cannot unilaterally circumvent the scenarios established therein via contrary positions in later orders. This principle ensures coherence and predictability in regulatory frameworks and prevents regulatory drift.

TABLE OF AUTHORITIES

Authorities substantively discussed by the Tribunal, with their treatment (applied, cited, distinguished) and the specific proposition each advances.

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Electricity Act, 2003 Act No. 36 of 2003 · Statutory	Sections 2(18), 2(42), 2(61) provide statutory definitions of 'distributing main', 'main', and 'service line'; Sections 43 (universal supply obligation), 86 (State Commission powers), and 111 (APTEL appellate jurisdiction) establish the regulatory framework for distribution licensing and consumer rights.	The Tribunal applied these definitions to determine that service lines, as statutorily defined, extend from distribution mains or licensor's premises to consumer premises (including switchgear), without limitation by distance or cost. Section 111 conferred jurisdiction on the Tribunal to hear the appeal. (¶ 8.14, 8.15, 8.16)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Central Electricity Authority (Measures relating to Safety and Electric Supply) Regulations, 2010 Regulations 2(1)(zza) and 14 · Statutory	Regulation 2(1)(zza) defines 'switchgear' as switches, circuit breakers, cut-outs and apparatus used for operation and control of circuits; Regulation 14 mandates that suppliers provide suitable switchgear on each conductor of every service line within consumer premises.	The Tribunal cited these Regulations to establish that switchgear installed on consumer premises is a statutory component of service lines (not a separate infrastructure element), thus negating the Appellant's dichotomy between cable to RMU and cable to switchgear. (¶ 8.16, 8.17)	Applied
MERC (Electricity Supply Code) Regulations, 2005 Regulation 3.3.3 · Regulatory (Maharashtra)	Where provision of supply entails works of installation of Dedicated Distribution Facilities, the Distribution Licensee shall recover all reasonably incurred expenses from the applicant based on approved Schedule of Charges.	The Tribunal referred to this as establishing the framework for cost recovery in dedicated facilities cases, distinguishing such cases from the instant case (where the licensee argues for DDF characterization to shift entire cost to consumer, but which the Tribunal holds is inapplicable as the lines are service lines, not dedicated mains). (¶ 4.15, 9.2)	Cited (as framework for comparison, but distinguished)

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Maharashtra Electricity Regulatory Commission, Order dated 28.12.2012 in Case Nos. 47 & 73 of 2012 Schedule of Charges Approval Orders for TPC and AEML · Regulatory (Maharashtra)	Approved Schedules of Charges specifying normative, uniform charges for service-connection provision; established principle that charges do not reflect actual cost in each case; excess cost over charges is recovered as infrastructure cost through Distribution Licensee's ARR.	The Tribunal applied this foundational principle to hold that under-recovery from one consumer (Netmagic) via normative charges is intentional policy, balanced by ARR recovery and revenue growth, and does not negate switchover rights in Scenario 53(b). (¶ 9.6, 9.7, 9.8)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Maharashtra Electricity Regulatory Commission, Order dated 12.06.2017 in Case Nos. 182 of 2014 & 40 of 2015 Case 182 Order; Interim Order dated 09.11.2015; Final Order dated 12.06.2017 · Regulatory (Maharashtra)	Established foundational scenarios for switchover and changeover between parallel distribution licensees (TPC and AEML, then RInfra) in overlapping areas; Scenario 53(a) = mains present only for one licensee (no switchover); Scenario 53(b) = mains present for both licensees, connection by service lines only (switchover permitted); defined ‘completely covered’ as when licensee has mains and can provide service-line connection without augmenting/extending mains; set Level 1 as service-line connection without mains augmentation; prescribed change-over and switch-over protocols.	The Tribunal applied this foundational order as the governing framework between the parties, holding that it establishes the principles by which the instant case must be adjudicated. The Tribunal held that Netmagic falls under Scenario 53(b) on proper reading of this order, hence switchover is permissible. The Tribunal also noted this order remains un-stayed and binding despite pending appeals against it. (¶ 8.1, 8.2, 8.12, 8.13, 8.19, 8.21, 10.1, 10.2)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Maharashtra Electricity Regulatory Commission, Order dated 13.05.2019 in Case No. 97 of 2019 Impugned Order in present appeal · Regulatory (Maharashtra)	Held that Netmagic falls under Scenario 53(b); the 11 kV lines from AEML are service lines as defined in the Electricity Act; switchover is permissible; cost passage through ARR is a regulatory norm not affecting consumer choice; under-recovery through Schedule of Charges cannot be grounds for denying switchover.	The Tribunal upheld this order in its entirety, finding no infirmity or perversity in MERC's reasoning or findings. The Tribunal held the order is a 'speaking order' with adequate reasons, contrary to the Appellant's claim. (¶ 9.10, 10.2)	Applied
S.N. Mukherjee v. Union of India (1990) 4 SCC 594 · Supreme Court of India	Established doctrine that orders passed by regulatory/quasi-judicial authorities must be 'speaking orders' with reasons for the decision.	The Appellant relied on this to argue the impugned order is a non-speaking order lacking reasons. The Tribunal examined the impugned order and held it contains adequate reasons and findings, distinguishing it from purely conclusory orders. (¶ 8.3, 9.10)	Referred (by Appellant; rejected as inapplicable by Tribunal)

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
APTEL Judgment dated 04.04.2006 in Appeal No. 190 of 2005 Appeal No. 190 of 2005 · Appellate Tribunal for Electricity	Tribunal's earlier judgment on the doctrine of non-speaking orders in regulatory/quasi-judicial contexts.	The Appellant cited this to support the claim that the impugned order is non-speaking. The Tribunal distinguished the case, holding the impugned MERC order contains detailed findings and reasoning. (¶ 8.3)	**Referred (by Appellant; distinguished by Tribunal)**
APTEL Judgment in Appeal Nos. 229 & 246 of 2012 Judgment dated 28.11.2014 · Appellate Tribunal for Electricity	Established principle that in switchover/changeover cases, the benefit should accrue to consumers at large, not only to the individual consumer seeking switchover.	The Respondent (AEML) cited this to argue that switchover of Netmagic benefits not only Netmagic but also other AEML consumers (via reduced wheeling charges and tariff neutralization through additional sales revenue). The Tribunal implicitly accepted this principle in upholding the switchover. (¶ 5.18, 9.3)	**Cited (by Respondent; implicitly approved by Tribunal)**

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.